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Individual Portfolio Review

Overview:

Particulars	Amt in $'s
Initial capital	15 million
Value as od 04/15/25	18.43 million
Profit	3.436 million

The portfolio has been **constructed in a core satellite framework** allowing me to focus on balanced long-term gains and exposure and also permitting me to get the advantage of more opportunistic scenarios.

As of April 15, the portfolio consisted of a diversified mix of equities, ETFs, fixed income instruments, and derivatives.

Holdings:

Core Holdings –

The core of the portfolio, constituting approximately 70% of total capital, is anchored in broad-market and defensive assets. These holdings are selected based on uniqueness of product, strong historical performance and consistent returns across the market cycle (analyzed the performance of these companies during covid crisis):

1. **ACWI (iShares MSCI ACWI ETF)**: Offers global equity diversification, reducing single-country risk and providing exposure to developed and emerging markets.
2. **BND (Vanguard Total Bond Market ETF)**: Acts as a stabilizer, delivering interest income and lowering portfolio volatility through diversified fixed income exposure.

3. **GLD (SPDR Gold Trust)**: A non-correlated asset that hedges against inflation and systemic risks.
4. **AJG (Arthur J. Gallagher & Co:** High quality financials and exposure to risk assessment industry
5. **BRK/B (Berkshire Hathaway Inc)**: High-quality financials that combine stability with steady capital appreciation.
6. **LLY (Eli Lilly & Co.)**: Large cap rapidly growing pharma company with high pricing power in health care sector and growing market for its diabetic drug
7. **VOO** – ETF tracking the SPX was taken to ensure a rounded exposure to all the facets of the market

Satellite Holdings -

The remaining 30% is allocated to satellite holdings that introduce active risk, thematic plays, and asymmetric return profiles:

1. **ARKK (ARK Innovation ETF)**: Provides concentrated exposure to disruptive innovation sectors such as AI, genomics, and blockchain.
2. **AAT (American Assets Trust)** and **FRT (Federal Realty Investment Trust)**: Offer tactical exposure to real estate, sensitive to interest rate changes and local economic trends.
3. **URA (Global X Uranium ETF)**: A thematic bet on nuclear energy adoption and uranium supply constraints.
4. **PLTR (Palantir Technologies)**: Represents a growth play in the data analytics and defense-tech space based on history of ongoing wars.
5. **SPXW Options and Gold Futures**: Used as tactical instruments for hedging equity drawdowns and expressing short-term macro views.
6. **Long-dated Corporate Bonds (JPM, VZ, PFE)**: Used for yield enhancement and credit spread positioning in a steepening yield curve environment. These also ensure a steady flow of income in form of coupons

Rational behind use of Options & Futures:

Options were taken on NVDA, ILLY, SPX

NVDA Options – A **Bull Call Spread** was entered on NVDA with the view that the stock will recover post the negative impact of DeepSeek but would not break the resistance of its all-time high level of approx. $153. Therefore, the positions entered are **Short -NVDA US 03/21/25 C140(500lots) & Long - NVDA US 04/17/25 C120(100lots). Post Liberation Day** the long position was squared off as the stock tanked breeching 110$. We were needed to sell 500 lots as back then the option premium was in cents to partially fund the long call.

ILLY Options – Despite of having an amazing diabetic product the stock was trading an insanely high P/E multiple, coupled with a high OI buildup in puts I decided to make a collar with a **short call (55 lots) - LLY US 03/21/25 C1020 and long put (55lots)- LLY US 04/17/25 P920**. The reason of selling a OTM call was to protect the premiums earned as they were used to partially

Avg Daily return of portfolio: -0.093% Annualized portfolio returns: -23.35%	Daily Standard deviations: 1.48%. Annualized Standard deviations: 23.53%
Sharpe Ratio: -1.20 Information Ratio: 2.29	Treynor Ratio of -0.45 Beta: 0.64 (vs. S&P 500)

fund the purchase of put. As stock tanked after the **Liberation Day additional long put was added to the open positions at LLY US 04/17/25 P890(30lots).**

SPX Options:

With the looming threat of tariffs, a put option on SPX was purchased as on day 0 i.e. day of portfolio construction. **Long Put - SPXW US 04/30/25 P5840 (75 lots)** this position returned wonders as Liberation Day materialized. With the onset of trade war with China additional **long put** position was added to capture the move **SPXW US 04/30/25 P5580 (50 lots).**

Gold 100 oz April 2025 future:

Additional gold futures were bought as a huge flight to safety was seen during the last 45 days of extreme volatility and Liberation Day' s tariffs

Performance and Ratio Analysis:

Despite the crazy drawdown of SPX the portfolio sustained less losses because of its core satellite nature and inclusion of futures and options.

The negative Sharpe ratio reflects underperformance relative to the risk-free rate, while the high Information Ratio suggests strong relative performance versus the S&P 500 despite the overall drawdown. The Treynor Ratio of -0.45, derived from a portfolio beta of 0.64, indicates that the portfolio did not generate adequate returns per unit of systematic risk over the evaluation period.

Impact of Recent Events & Portfolio Resiliency (March–April 2025)

The period from March to April 2025 was marked by significant market volatility, primarily due to aggressive tariff policies implemented by the U.S. administration. On April 2, President Trump announced sweeping tariffs, including a 10% baseline on all imports and additional levies on specific countries, leading to immediate market reactions. The S&P 500 experienced a sharp decline, losing over 10% in two days, marking one of the most substantial drops since the 2020 pandemic-induced crash.

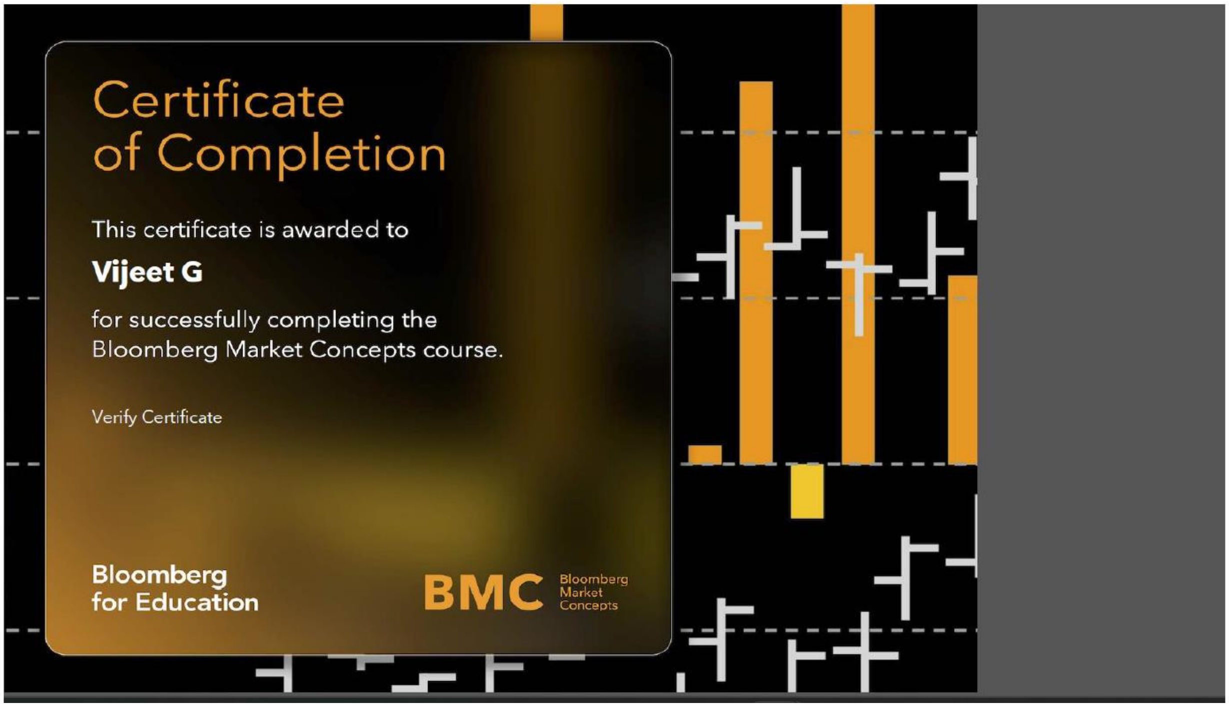
These tariff measures triggered retaliatory actions from major trading partners, notably China, which imposed its own set of tariffs. The ensuing trade tensions led to increased inflationary pressures, disrupted supply chains, and heightened fears of a global economic slowdown. Economists projected a significant reduction in U.S. GDP growth and a potential rise in unemployment rates.

Despite the turbulent market conditions, the core-satellite structure of the portfolio provided a buffer against extreme volatility. Core holdings like BND (Vanguard Total Bond Market ETF) and

GLD (SPDR Gold Trust) offered stability, with gold reaching record highs as investors sought safe-haven assets. These assets helped mitigate losses from more volatile satellite holdings.

Satellite investments, particularly those in sectors directly impacted by tariffs, such as technology and industrials, faced headwinds. However, the diversified nature of the satellite component, including thematic ETFs and tactical derivatives, allowed for strategic adjustments in response to market shifts.

Bloomberg Markets Certificate

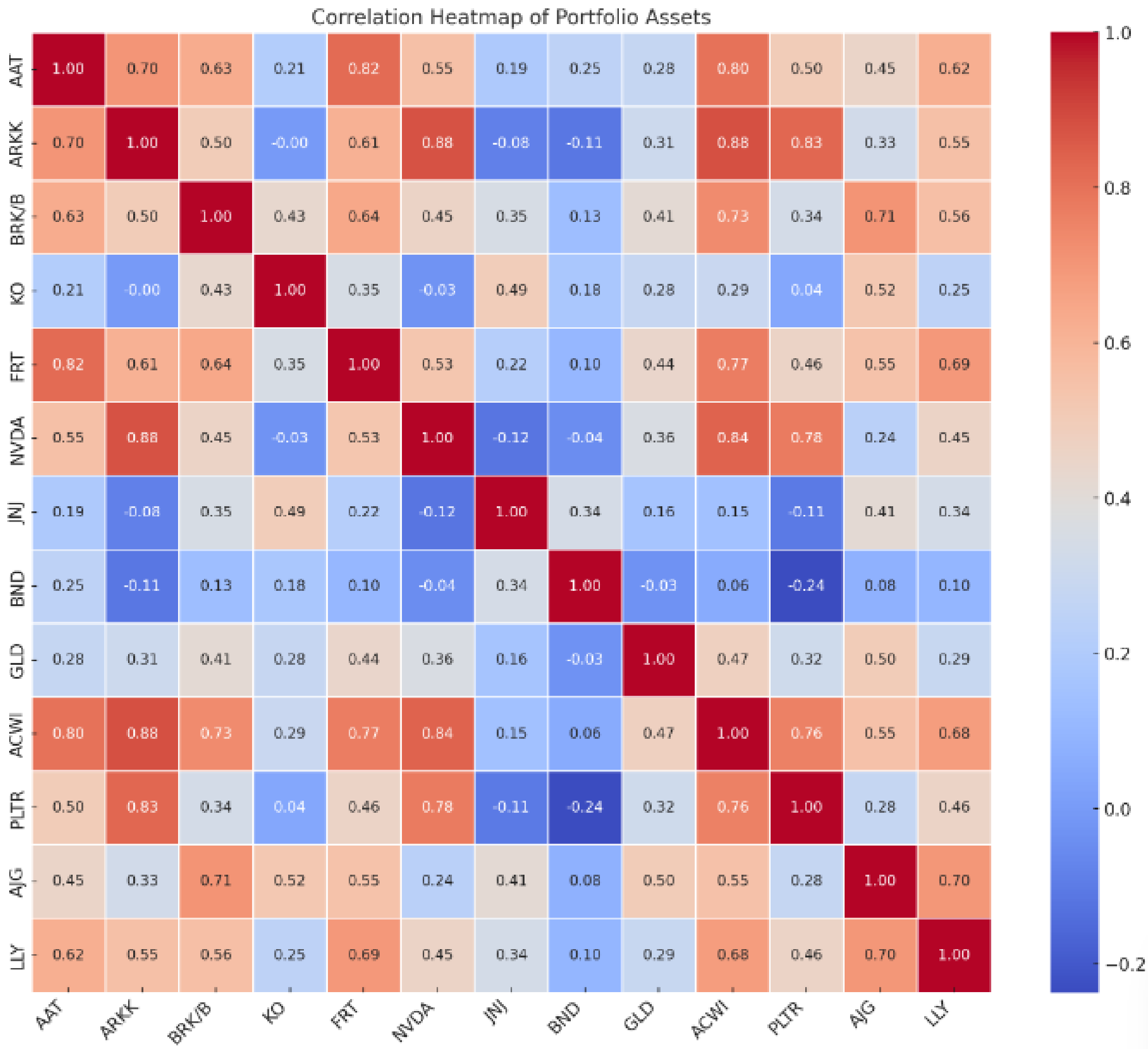


Appendix:

1. Holdings Summary Blue resemble core holdings and orange resembles satellite holdings

Security	Position	Price	Current			Price	Cost as on purchase		
			Principal	Accured Int	Market Value		Principal	Accured Int	Market Value
Cash			4484630.42		$ 4,484,630.42				$ 4,484,630.42
AAT US	48567.00	$ 18.91	$ 918,401.97	$ -	$ 918,401.97	$ 20.59	$ 999,994.53	$ -	$ 999,994.53
ACWI US	6207.00	$ 112.72	$ 699,653.04	$ -	$ 699,653.04	$ 120.83	$ 749,991.81	$ -	$ 749,991.81
AJG US	740.00	$ 335.56	$ 248,314.40	$ -	$ 248,314.40	$ 337.74	$ 249,927.60	$ -	$ 249,927.60
ARKK US	4493.00	$ 46.55	$ 209,149.15	$ -	$ 209,149.15	$ 55.64	$ 249,990.52	$ -	$ 249,990.52
BND US	10182.00	$ 72.61	$ 739,315.02	$ -	$ 739,315.02	$ 73.66	$ 750,006.12	$ -	$ 750,006.12
BRK/B US	487.00	$ 528.71	$ 257,481.77	$ -	$ 257,481.77	$ 513.83	$ 250,235.21	$ -	$ 250,235.21
FRT US	436.00	$ 92.30	$ 40,242.80	$ -	$ 40,242.80	$ 92.28	$ 40,234.08	$ -	$ 40,234.08
GLD US	3798.00	$ 297.78	$ 1,130,968.44	$ -	$ 1,130,968.44	$ 263.27	$ 999,899.46	$ -	$ 999,899.46
JNJ US	1515.00	$ 153.62	$ 232,734.30	$ -	$ 232,734.30	$ 165.02	$ 250,005.30	$ -	$ 250,005.30
KO US	3511.00	$ 71.86	$ 252,300.46	$ -	$ 252,300.46	$ 71.21	$ 250,018.31	$ -	$ 250,018.31
LLY US	543.00	$ 757.18	$ 411,148.74	$ -	$ 411,148.74	$ 920.63	$ 499,902.09	$ -	$ 499,902.09
LLY US 03/21/25 C1020	-55.00	$ 0.05	$ (275.00)	$ -	$ (275.00)	$ 1.75	$ (9,625.00)	$ -	$ (9,625.00)
LLY US 04/17/25 P890	55.00	$ 135.35	$ 744,425.00	$ -	$ 744,425.00	$ 23.51	$ 129,305.00	$ -	$ 129,305.00
LLY US 04/17/25 P920	30.00	$ 205.55	$ 616,650.00	$ -	$ 616,650.00	$ 37.00	$ 111,000.00	$ -	$ 111,000.00
NVDA US	405.00	$ 112.20	$ 45,441.00	$ -	$ 45,441.00	$ 124.92	$ 50,592.60	$ -	$ 50,592.60
NVDA US 03/21/25 C140	-500.00	$ 0.01	$ (500.00)	$ -	$ (500.00)	$ 2.03	$ (101,500.00)	$ -	$ (101,500.00)
NVDA US 04/17/25 C120	0.00	$ -	$ -	$ -	$ -	-	$ -	$ -	$ -
PG US	1438.00	$ 168.47	$ 242,259.86	$ -	$ 242,259.86	$ 173.84	$ 249,981.92	$ -	$ 249,981.92
PLTR US	2944.00	$ 98.40	$ 289,689.60	$ -	$ 289,689.60	$ 84.92	$ 250,004.48	$ -	$ 250,004.48
URA US	20161.00	$ 22.73	$ 458,259.53	$ -	$ 458,259.53	$ 24.80	$ 499,992.80	$ -	$ 499,992.80
VOO US	2745.00	$ 494.09	$ 1,356,277.05	$ -	$ 1,356,277.05	$ 546.33	$ 1,499,675.85	$ -	$ 1,499,675.85
APPL 4 1/2 02/23/36	1503.00	$ 98.37	$ 147,850.11	$ 9,769.50	$ 157,619.61	$ 99.80	$ 149,999.40	$ 939.38	$ 150,938.78
JPM 5.336 01/23.35	1480.00	$ 99.26	$ 146,904.80	$ 17,988.25	$ 164,893.05	$ 101.36	$ 150,012.80	$ 7,677.91	$ 157,690.71
OXY 8 7/8 07/15/30	1230.00	$ 111.02	$ 136,554.60	$ 27,290.63	$ 163,845.23	$ 115.49	$ 142,052.70	$ 13,038.85	$ 155,091.55
PFE 6 1/2 02/01/34	900.00	$ 109.18	$ 98,262.00	$ 12,028.34	$ 110,290.34	$ 111.08	$ 99,972.00	$ 4,388.72	$ 104,360.72
VZ 6.4 09/15/33	922.00	$ 107.97	$ 99,548.34	$ 4,858.67	$ 104,407.01	$ 109.79	$ 101,226.38	$ 26,398.76	$ 127,625.14
Gold 100 oz April 2025 futur	1.00	$ 3,218.70	$ 37,020.00	$ -	$ 37,020.00	$ 2,848.50	$ 284,850.00	$ -	$ 284,850.00
SPXW US 04/30/25 P5580	50.00	$ 199.32	$ 996,600.00	$ -	$ 996,600.00	$ 119.92	$ 599,600.00	$ -	$ 599,600.00
SPXW US 04/30/25 P5840	75.00	$ 854.83	$ 3,325,350.00	$ -	$ 3,325,350.00	$ 128.78	$ 965,850.00	$ -	$ 965,850.00
TOTAL	$				18,436,592.79	$			15,000,270.00
PROFIT/(LOSS)	**$**								**3,436,322.79**

2. Correlation matrix excluding futures and options (made using python)



3. Matrix method used to calculate portfolio SD: σp=wTΣw and portfolio return: [(wi*ri)+(wj*rj)]